Checklist for Deductible Indemnification Qualification

Your URE group offered E&O program currently indemnifies up to $7,500 of the E&O *retention/deductible*, if qualifications have been met. The current per-claim retention under the 2025-2026 Ascot policy is $10,000; any URE offered indemnification cap (e.g., $7,500) is an organization policy and is not set by the E&O contract itself.

Instructions: Agent (or team lead) completes the below Sections and assembles the documents in Section I. All items must be Yes (or N/A) unless otherwise noted. Attach supporting proof where indicated.

A) Ethics, Laws & Office Policies

- ☐ Compliance with Brokerage ICA and Policy & Procedures Manual
- ☐ Transaction file complete with all required documentation submitted timely
- ☐ Agent Fees current and no outstanding monies owed to the brokerage

B) E&O Coverage Alignment (Ascot)

- ☐ Services stayed within covered "Real Estate Professional Services" (incl. mortgage broker & business broker services as amended); no excluded professional services (e.g., legal, appraisal, title agent).
- ☐ Owned/related-party property: Either no such involvement or all Owned Property conditions were met (for residential sales with >20% insured ownership: *seller disclosure signed; home inspection report or buyer waiver; board-approved standard contract; home warranty or buyer waiver; ownership interest disclosed and acknowledged*).
- ☐ No unwitnessed notarizations; if notarizing, signer appeared per law (incl. permitted remote appearance).
- ☐ Privacy / PII handled lawfully (no unauthorized access, use, or disclosure).
- ☐ No prohibited TCPA marketing or FCRA mis-use; if implicated, promptly leveraged the policy's limited defense cost extensions (where conditions met).
- ☐ If claim involved open house/lockbox, incident arose from showing activity and fits the policy sub-limits.
- ☐ Pollutants: where applicable, properly disclosed pollutants to avoid exclusion.

C) Claim Reporting & Cooperation (for this incident)

- ☐ Claim (written demand, suit, ADR request, etc.) was reported promptly.
- ☐ All demands/summons/pleadings forwarded to the brokerage immediately.
- ☐ No voluntary payments/admissions/settlements made without consent; full cooperation with brokerage and carrier assigned defense provided.
- ☐ Settlement: Agent did not unreasonably withhold consent to a recommended settlement (avoiding the 25% post-refusal cost share).

- ☐ Subpoena (if any) sent to brokerage to evaluate for use of subpoena-assistance coverage.
- ☐ Full cooperation, participation and availability throughout the defense of the matter

D) Mandatory Legal/Regulatory Reporting to Broker

- ☐ Agent promptly informed Broker of threatened or actual legal action/investigation related to the transaction; complied with state or other regulatory authority reporting deadlines.

E) Documents to Attach with Indemnification Request

Please attach the following (digital copies acceptable):

1. Licensing/Standing: status printout and CE proof.
2. Buyer Agreement (signed, pre-tour) and Listing Agreement
3. Purchase Contract package
4. Escrow Verification (deposit date next business day; signed copy to Broker within 5 business days).
5. Closing Prep records (funding request + full transaction submitted pre-closing).
6. If applicable to the matter, advertising samples & Broker approvals for any listing/marketing used.
7. If applicable to the matter, wire-fraud email signature screenshot and any client wire warning communications.
8. Owned/Related Property—if applicable: seller disclosure, home inspection report or waiver, board-approved contract, home warranty or waiver, and ownership disclosure acknowledged.
9. Timeline of events that led to claim
10. Evidence of Home Warranty offered

“Red Flags” that Commonly Disqualify Indemnification

- Late **notice** of matter provided, or **voluntary payment/admission** before notifying carrier
- **Owned-property** sales with >20% insured ownership **without** all five required conditions
- services beyond policy’s **covered professional services**
- Missing paperwork, transaction documents, or **improper** compensation practices
- Failure to observe TCPA regulations
- Lack of participation in continuing defense of the matter